



March 15, 2025

Faisal D'Souza
National Coordination Office
Networking & Information Technology Research & Development
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

Via email to: ostp-ai-rfi@nitrd.gov

Re: ***Request for Information on the Development of an AI Action Plan***

Dear Mr. D'Souza:

I am co-founder and CEO of [Credtent](#), a Public Benefit Corporation founded by US-based technologists, scientists, and creatives. Credtent's mission is to lead the effort of building market-driven frameworks for licensing copyrighted content used in AI development, preventing exploitation of America's incomparable creators while driving economic growth and innovation across the AI and creative industries.

We appreciate the Trump Administration's focus on supporting American innovators and innovation. In many cases, we believe that market-based private sector activities are better suited to promote innovation than heavy-handed regulation that risks stifling innovation. Third-party neutral solutions like Credtent that audit copyright rights and content usage and support market-based pricing can avoid the need for burdensome and costly government oversight.

However, there is a critical strategic role that the Administration can play, and we recommend that the Administration include in its AI Action Plan several innovation-forward policies to ensure America's AI dominance and an economically sustainable generative AI ("GenAI") ecosystem.¹

¹ This document is approved for public dissemination. The document contains no business-proprietary or confidential information. The government may reuse document contents in developing the AI Action Plan and associated documents without attribution.

The Problem: Today, Generative AI Risks The Destruction of America's Creative Industries

America's creators, in publishing, the film and TV industry, music, art, and associated industries, are the inspiration and envy of the world. Creative industries are foundational to U.S. economic leadership worldwide, making an over \$1 trillion contribution to the American economy, which amounts to 4.3% of US Gross Domestic Product, and employing over 5 million workers nationwide.²

GenAI applications are trained with existing data to create new data outputs in the form of expressive material such as text, images, audio or video,³ and are having a transformational effect on how we work, how we create, and how we live. The United States and foreign countries are spending billions on computational power, manpower, and development resources to build AI models and applications. We believe these efforts drive innovation and should be encouraged.

GenAI models require immense amounts of data to be trained effectively. However, this data is rarely owned by those developing the model. Rather, the essential ingredient of GenAI is the work created and owned by others, i.e., copyrighted material such as books, articles, music and visual art.

While AI companies have signed licensing deals with major media companies,⁴ those firms own only a fraction of creative works that are being used to train GenAI models. The estimated 86 million individual creators in the U.S.,⁵ whose copyrighted work is also being used to train many models, are not giving permission or receiving payment for the use of their work. *The Journal of Nature* estimates that over 70% of training data is sourced without the consent of the creator or rights holder.⁶ Although it can be difficult

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<https://www.arts.gov/news/press-releases/2024/arts-cultural-sector-hit-all-time-high-2022-value-added-us-economy>;

https://www.iipa.org/files/uploads/2025/02/IIPA-Copyright-Industries-in-the-U.S.-Economy-Report-2024_ONLINE_FINAL.pdf

³ <https://news.mit.edu/2023/explained-generative-ai-1109>;

<https://www.copyright.gov/ai/Copyright-and-Artificial-Intelligence-Part-2-Copyrightability-Report.pdf>

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<https://www.copyright.gov/economic-research/economic-implications-of-ai/Identifying-the-Economic-Implications-of-Artificial-Intelligence-for-Copyright-Policy-FINAL.pdf>,

Section 5.3.

⁵ <https://whop.com/blog/creator-economy-statistics/>

⁶ <https://www.nature.com/articles/s42256-024-00878-8>

for creators to determine whether their work is being used in AI systems, one study showed that 67% of creators are aware of unauthorized use.⁷

Moreover, in addition to the economic harm to creators from uncompensated use of their works, we believe that the increase in demand for GenAI content—estimated to grow to a \$60 billion market for music and AV generated content alone by 2028⁸—will be at the expense of demand for human-created work.

Developing a globally dominant GenAI industry requires protecting the rights of all American creators, whether or not they are full time creative professionals. Failing to protect these rights threatens creative industries and the U.S. economy.

The Solution: Empowering American Creators to Monetize (or Protect) Their Work When Used For GenAI While Mitigating Risk for AI Developers

The good news is that there is a clear path forward toward a market-based solution that will empower American creators and strengthen the U.S. economy as a whole while enabling GenAI firms to thrive in an environment of greater certainty. The even better news is that the Trump Administration can accelerate adoption of that solution with targeted strategic policy measures.

A neutral system that enables American creators to receive compensation for AI-related use of their work (or to opt out of AI use)⁹ and for AI developers to be able to develop and deploy models with confidence about their legality will benefit American innovators in both the creative and AI industries, and have an outsized effect on how content is licensed and paid for globally.

For example, Credent’s Independent Creative Registry Platform enables creators to create a profile and content library which enables them to license to AI developers or exclude from AI applications their work as they choose. If a creator and AI company wish to contract for a license of a particular work or set of content, they agree on a price through a bidding process and payment is made through Credent’s transparent

⁷ <https://assets.cla.co.uk/media/2023/12/ai-research-report.pdf>

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<https://www.cisac.org/Newsroom/news-releases/global-economic-study-shows-human-creators-future-risk-generative-ai>

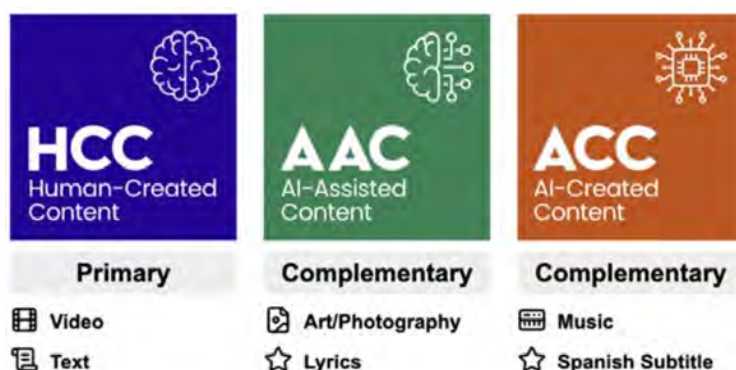
⁹

<https://www.copyright.gov/economic-research/economic-implications-of-ai/Identifying-the-Economic-Implications-of-Artificial-Intelligence-for-Copyright-Policy-FINAL.pdf>,

Section 5.3 (referring to allowing rightsholders to opt out as a “middle-ground solution”).

payment system (e.g., annual payments, usage-based fees). Credent tracks AI content usage in real time and provides a neutral audit for both parties.

In addition, Credent has introduced Creative Origin Badges, a free-to-use, three-badge system designed to help creators disclose the extent of use of AI in their content creation processes. This system not only supports creators but also helps AI companies select credible, licensed data for legally compliant, efficient AI training.



While creators benefit from being able to decide whether or not they want to license their content, and be compensated for its use, AI companies benefit from being able to access available data deeply (e.g., through approval to actually reference an artist or their work in a generative AI prompt) while minimizing risk of copyright infringement and costly lawsuits.

Unfortunately, while GenAI growth has exploded on billions of dollars of investment,¹⁰ little of that investment has gone to the creators whose data is being used or to the development and deployment of third-party solutions for the exploitation of creators' IP rights. Although we believe that the private sector must take the lead using market-based approaches that can adapt as technology develops, we recommend that the Administration continue its historic AI leadership by including the following policy priorities in its AI Action Plan to accelerate that effort and its global impact:

1. Supporting a Copyright Infringement Safe Harbor

We encourage the Administration to champion legislation to shield generative AI developers from copyright infringement liability if they comply with market-driven standards for content licensing and disclosure such as Credent that safeguard the IP rights of creators whose works are used in training data. A safe harbor

¹⁰ See, e.g., <https://www.gspublishing.com/content/research/en/reports/2023/03/27/d64e052b-0f6e-45d7-967b-d7be35fabd16.html>

provision—conditioned on adherence to transparent, industry-recognized standards for licensed data usage, opt-in participation, and clear provenance tracking—would help drive a balanced framework that both encourages AI innovation and respects the rights of content creators. This concept has been endorsed as a ‘middle-ground solution’ by the US Copyright Office.

2. Require GenAI Vendors To Use Audited Models.

The federal government should establish generative AI procurement criteria that favor vendors implementing audited AI sourcing models. By prioritizing vendors who undergo third-party audits to verify that their training datasets are obtained through licensed, public domain, or opt-in agreements, the government can help set a market standard that discourages AI models built on unlicensed scraping or copyright infringement. Such a policy would not only protect artists, writers, and other content creators but also foster innovation by incentivizing AI companies to develop transparent, accountable data collection practices.

3. Provide Strong Global Leadership To Protect U.S. Creators

As in other areas of AI, it's essential that the U.S. take an international leadership role.

By integrating AI-related copyright protections into trade agreements, bilateral negotiations, and World Intellectual Property Organization (WIPO) discussions, the U.S. can push for global standards that require AI developers to respect creators' rights. Further, strengthening enforcement mechanisms under existing trade agreements—such as the USMCA and WTO TRIPS provisions—can deter copyright abuse while ensuring that American creators benefit from emerging AI markets rather than being exploited by them.

Additionally, the U.S. Patent and Trademark Office (USPTO), in collaboration with the Office of the U.S. Trade Representative (USTR), can advocate for international licensing frameworks that prevent unauthorized data scraping and ensure fair compensation for artists, writers, and other content creators, including in its Global Intellectual Property Academy (GIPA) programs and through the work of the IP Attaches.

We encourage the USTR to include copyright infringement by virtue of LLM training in the Special 301 Review process and take appropriate action against countries that fail to adequately protect and enforce IP rights.

Conclusion

Thank you for considering Credtent's views on how the Administration can ensure continued American leadership in both creative content production and AI technologies. We look forward to working with the Administration and other stakeholders on these critical issues.

Sincerely,

Eric R Burgess
Chief Executive Officer
Credtent, Inc.